

SOKOINTEL

A Philtechent Ltd publication

NSE Dividend Growth DCA and Watchlist Part Two

A Sokointel research edition based on the Nairobi Securities Exchange dividend-growth DCA and watchlist project.

Research through 10 September 2026

sokointel.com

RESEARCH EDITION

Research questions

- 1. How can KES 100,000 be staged across a dividend-growth portfolio while reserving transaction costs?
- 2. Which inputs determine whole-share DCA quantities, dividend income and net yield?
- 3. How should a watchlist expand diversification without increasing bank concentration automatically?

Reading path

The main articles develop the argument and worked examples. Technical appendices follow the relevant article, with calculations, formula dictionaries and source references where supplied.

Watchlist and Portfolio Expansion 4

Appendix B Watchlist Formulae18

Publication details and license

Title NSE Dividend Growth DCA and Watchlist Part Two

Publication Sokointel

Publisher and rights holder Philtechent Ltd

Edition date 2026-09-10

Research cutoff 10 September 2026

Edition identifier sokointel-nse-dividend-growth-2026

Language English

Canonical publication <https://sokointel.com/series/nse-dividend-growth/part-two/>

Creative Commons license

© 2026 Philtechent Ltd. Except where separately credited, original content in this publication is licensed under CC BY-NC-SA 4.0.

Attribution NonCommercial ShareAlike 4.0 International

You may share and adapt the original material for noncommercial purposes, with attribution, a link to the license and an indication of changes. Distribute adaptations under the same license.

<https://creativecommons.org/licenses/by-nc-sa/4.0/>

Suggested attribution: Sokointel, NSE Dividend Growth DCA and Watchlist Part Two, Philtechent Ltd, 2026-09-10. <https://sokointel.com/series/nse-dividend-growth/part-two/>

Third-party material retains the rights and license terms stated by its respective source. Source citations identify the supporting evidence and do not change those terms.

Watchlist and Portfolio Expansion

13. Part 2: Purpose of the Watchlist

A watchlist is not a second portfolio. It is a decision pipeline. Its purpose is to identify companies that could improve diversification, replace a weakening core holding, or become attractive after a valuation or business-quality change. This distinction is especially important after constructing the seven-stock core because adding every appealing dividend payer would quickly undermine the original architecture. The core already holds three banks; therefore KCB, Stanbic, NCBA, I&M, Absa and DTB should primarily be compared against the existing bank positions rather than all being bought at once.

The 15-counter watchlist below is organized into three functional groups. The first group contains diversification candidates: energy, insurance, industrial and agriculture businesses whose cash flows are meaningfully different from the core. The second contains banking alternatives and potential replacements. The third contains higher-risk/value opportunities where the headline yield or recent price performance needs additional caution. Every yield uses the 9 September 2026 reference price from the same market list [1] and a stated dividend basis. The result is a comparable research snapshot rather than a collection of numbers gathered on different dates.

The status labels are research labels, not personalized buy or sell recommendations. ‘High-priority diversifier’ means the company fills an obvious portfolio gap and merits deeper valuation work. ‘Bank alternative’ means the stock should be evaluated against an existing bank rather than added automatically. ‘Wait’ signals that price momentum, concentration or uncertainty makes patience more important than immediate entry. ‘Speculative’ indicates that the dividend or valuation thesis has a material fragility that should be resolved before capital is committed.

14. Master Watchlist Snapshot

Stock	Sector	Price	Recent dividend basis	Indicative yield	Volume	Research status
KenGen (KEGN)	Energy generation	10.85	FY2026 recommended	6.91%	2.42M	High-priority diversifier

Stock	Sector	Price	Recent dividend basis	Indicative yield	Volume	Research status
KCB Group (KCB)	Banking	94.25	FY2025 headline; KES 3 special	7.43% headline / 4.24% ordinary	1.43M	Bank replacement / wait for valuation
Stanbic Holdings (SBIC)	Banking	294.50	FY2025 total	7.59%	225,455	High-income bank alternative
TotalEnergies Marketing Kenya (TOTL)	Energy distribution	49.65	FY2025 final/annual basis	6.95%	20,069	High-priority diversifier
Jubilee Holdings (JUB)	Insurance	412.25	FY2025 ordinary	3.64%	15,484	High-priority diversifier
NCBA Group (NCBA)	Banking	90.75	FY2025 total	7.82%	39,437	Bank alternative / event watch
BOC Kenya (BOC)	Industrial gases	198.00	FY2025 total: 2.50 interim + 10.35 final	6.49%	2,839	Diversifier, but liquidity-constrained
Kenya Power (KPLC)	Electric utility	21.45	FY2025 total	4.66%	3.08M	Turnaround/value watch
Kakuzi (KUKZ)	Agriculture/export	438.25	FY2025 first/final	3.65%	1,683	Diversifier, selective entry
Williamson Tea Kenya (WTK)	Agriculture/tea	159.00	FY ended Mar. 2026	9.43%	14,856	Speculative income watch
I&M Group (IMH)	Banking	80.25	FY2025 total	4.67%	228,119	Growth-bank alternative

Stock	Sector	Price	Recent dividend basis	Indicative yield	Volume	Research status
Absa Bank Kenya (ABSA)	Banking	34.00	FY2025 total	6.03%	203,211	Income-bank alternative
Car & General (CGEN)	Automotive/industrial distribution	281.00	FY2025 total	1.22%	12,794	Speculative / wait
Diamond Trust Bank (DTK)	Banking	191.00	FY2025 final/annual	4.71%	540,090	Quality-bank alternative
Carbacid Investments (CARB)	Industrial CO2 / investments	43.50	FY2025 final/annual	4.60%	45,231	Secondary industrial diversifier

15. Diversification Candidate: KenGen (KEGN)

KenGen is the highest-priority watchlist addition because it changes the economic exposure of the portfolio. The core has telecommunications, banking, tobacco, beverages and capital-market infrastructure but no electricity generation. KenGen closed at KES 10.85 on 9 September with about 2.42 million shares traded, indicating materially better liquidity than most agricultural and small industrial counters [1]. Its board recommended a first and final FY2026 dividend of KES 0.75 per share, down from KES 0.90 for FY2025 [15]. At the reference price, the recommended dividend represents an indicative yield of about 6.91%.

The dividend cut should not automatically be interpreted as deterioration. KenGen's FY2026 results show an asset-intensive business continuing to invest in generation capacity, while management is also developing geothermal consulting and the KenGen Green Energy Park [14], [15]. For a dividend-growth investor, the important question is whether retained cash earns an adequate return and expands future distributable capacity. A utility that under-invests merely to preserve a high payout can destroy long-term value. Key risks include large capital requirements, hydrology, project execution, regulatory policy and the government's strategic role. The watch status is therefore high-priority diversifier, with emphasis on accumulating only when valuation and the investor's overall energy weight are reasonable.

16. Diversification Candidate: TotalEnergies Marketing Kenya (TOTL)

TotalEnergies Marketing Kenya adds downstream energy exposure rather than electricity generation. It closed at KES 49.65 on 9 September, with 20,069 shares traded [1]. Its FY2025 financial information supports a KES 3.45 dividend basis [22], which gives an indicative yield of approximately 6.95% at the reference price. The attraction is not that fuel distribution is risk-free; it is that its revenue drivers differ from those of the three banks and Safaricom.

The company should be monitored for retail-fuel volumes, lubricants, commercial customers, margins, working-capital requirements and the effect of currency and global oil-price changes. Kenya's petroleum pricing and tax environment can compress or delay margin realization, while sharp changes in oil prices can change working-capital needs. Liquidity is adequate for a small retail position but substantially below Safaricom, Equity or KCB. For the next increment of capital, TOTL is a high-priority diversifier, but a staged entry remains preferable after the market's strong 2026 rerating.

17. Diversification Candidate: Jubilee Holdings (JUB)

Jubilee Holdings fills another clear gap: insurance. At KES 412.25, it is one of the higher-priced watchlist shares and traded only 15,484 shares on 9 September [1]. The FY2025 results showed profit before tax rising 15% to KES 7.2 billion, net profit rising 18% to KES 5.6 billion and an ordinary dividend of KES 15 per share, up 11% [21]. The resulting indicative yield is about 3.64%, which is below the banking and tobacco yields in the core.

That lower yield is precisely why Jubilee should be assessed as a dividend-growth and diversification candidate rather than an income maximizer. Insurance earnings are driven by underwriting, claims, investment returns, capital management and regional operations, so they broaden the portfolio's financial exposure beyond lending. The company also has asset-management exposure. Risks include claims inflation, investment-market volatility, regulatory capital requirements and relatively low trading liquidity. Jubilee deserves a high-priority watch status when the objective is portfolio quality rather than simply maximizing the first year's cash yield.

18. Diversification Candidate: BOC Kenya (BOC)

BOC Kenya offers industrial and medical-gases exposure and a comparatively strong cash distribution. The share closed at KES 198 on 9 September, but only 2,839 shares traded that day [1]. BOC's dividend record shows a KES 2.50 interim distribution associated with the prior cycle and a KES 10.35 final distribution paid in July 2026; together those components

provide a FY2025-style annual basis of about KES 12.85, while a KES 4.00 interim dividend for the subsequent cycle was also announced for September 2026 [23], [24]. Using KES 12.85 against KES 198 gives an indicative full-year yield of about 6.49%.

The attraction is the combination of industrial exposure and cash generation. The constraint is liquidity. A last-traded price in a thin counter may not represent the price available for a meaningful purchase or sale, and a market order can cause avoidable slippage. For that reason BOC is a diversifier but liquidity-constrained: it belongs on the watchlist, preferably with patient limit orders and modest position sizing. The investor should also monitor payout ratios and distinguish a growing recurring dividend from temporarily elevated distributions.

19. Diversification Candidate: Kakuzi (KUKZ)

Kakuzi is an agriculture and export-diversification candidate. It closed at KES 438.25 on 9 September and only 1,683 shares traded [1], so liquidity is a much larger concern than with large banks or utilities. For FY2025, Kakuzi returned to profit with KES 387.5 million after tax after recording a KES 131.6 million loss in the preceding year. The board recommended a first and final KES 16 dividend per share, double the prior year's payout [26]. At the reference price, that is an indicative yield of about 3.65%.

Kakuzi's value in a broader portfolio is its exposure to avocado, macadamia, blueberry and other agricultural/export activities. These businesses may respond differently from domestic credit and telecom demand, but they introduce new risks: weather, crop yields, freight, phytosanitary rules, global prices, foreign exchange and geopolitical disruption to export routes. The 2025 rebound is encouraging, but one strong year should not be extrapolated automatically. Kakuzi is therefore a selective-entry diversifier rather than a high-yield target.

20. Secondary Diversifier: Carbacid Investments (CARB)

Carbacid Investments is an additional industrial candidate that was not in the original watchlist but improves the sector map. It closed at KES 43.50 with 45,231 shares traded on 9 September [1]. Its FY2025 annual report records profit after tax of roughly KES 1.0 billion and a proposed final dividend of KES 2.00 per share, up from KES 1.70 [34]. Against the reference price, the indicative yield is about 4.60%.

The operating business is niche: carbon dioxide and related industrial applications, while the group also has an investment portfolio, meaning reported value can be influenced by listed-market performance. The annual report also noted expansion into non-traditional regional markets and benefits from lower power costs following solar investment [34]. Carbacid does not need to be a first watchlist purchase, but it is useful as a secondary

industrial diversifier because its operating economics are distinct from banks, telecoms and beverages. Risks include niche-market concentration, mark-to-market volatility in investments and moderate liquidity.

21. Banking Alternative: KCB Group (KCB)

KCB is arguably the strongest large-bank candidate outside the core, but it should be treated as a replacement candidate because the portfolio already has 45% in banks. KCB closed at KES 94.25 with approximately 1.43 million shares traded [1], giving it excellent liquidity. The FY2025 integrated report recorded record net profit and a KES 7.00 total distribution. Crucially, the KES 7.00 comprised KES 4.00 of ordinary dividends and KES 3.00 of special dividends linked to the sale of National Bank of Kenya [16], [17]. The headline yield is therefore about 7.43%, but the normalized ordinary yield is closer to 4.24% at the September price.

This is a textbook example of why dividend quality matters. Treating the KES 3 special component as recurring would overstate sustainable income by 75% relative to the ordinary KES 4 base. KCB's regional scale, digital activity and strong earnings remain attractive; however, the price had also rerated substantially by September. The correct watchlist role is 'bank replacement / valuation watch': compare its forward earnings, asset quality, return on equity and ordinary dividend prospects with Equity, Co-op and Standard Chartered before changing the core.

22. Banking Alternative: Stanbic Holdings (SBIC)

Stanbic Holdings is the most compelling pure-income bank alternative in the watchlist. It closed at KES 294.50 with 225,455 shares traded on 9 September [1]. The 2026 AGM material confirms an interim dividend of KES 3.80 and a final dividend of KES 18.55 for FY2025, for a total of KES 22.35 per share [18]. At the reference price, that corresponds to an indicative yield of approximately 7.59%.

The difficulty is not the income profile but portfolio overlap. Standard Chartered already occupies the high-income bank role, while Equity and Co-op represent regional/growth and domestic/co-operative banking. Adding Stanbic without reducing another bank would increase exposure to the same macro variables. Stanbic should therefore be monitored as an alternative to Standard Chartered or as a future bank allocation if the total financial-sector weight is first reduced elsewhere. Its liquidity is adequate, but the September price was near the upper end of its recent trading range, reinforcing a patient-entry approach.

23. Banking Alternative and Event Watch: NCBA Group (NCBA)

NCBA closed at KES 90.75 on 9 September with 39,437 shares traded [1]. Its FY2025 annual report records KES 2.50 interim plus KES 4.60 final, bringing the total dividend to KES 7.10 per share [19]. At the reference price, that equates to an indicative yield of about 7.82%, one of the stronger headline yields among the ordinary bank distributions in this watchlist. FY2025 profit after tax rose 7% to KES 23.4 billion, operating income rose 17%, and digital-loan disbursements reached KES 1.4 trillion, though credit-loss provisions also rose materially [20].

NCBA also carries a corporate-event dimension because the group's shareholder-information materials include a proposed Nedbank transaction [19], [20]. Such a transaction can create upside, uncertainty or both; investors should monitor regulatory approvals, offer structure, minority-shareholder implications and the post-transaction strategy rather than speculating on headlines. Even without the event, NCBA has a credible income case, but the core portfolio does not need another bank automatically. Its watch status is bank alternative / event watch.

24. Banking Alternatives: I&M Group, Absa Kenya and DTB

I&M Group combines a rising payout with earnings growth. Its FY2025 audited statements show dividend per share increasing from KES 3.00 to KES 3.75 and group profit after tax attributable to shareholders rising materially [29]. At KES 80.25, the KES 3.75 dividend implies about 4.67%. The yield is not exceptional compared with NCBA or Stanbic, but the consistent progression is valuable: external reporting described FY2025 as the fifth consecutive annual payout increase. I&M therefore belongs on a growth-bank watchlist rather than a highest-yield list.

Absa Kenya closed at KES 34.00 and traded 203,211 shares [1]. FY2025 profit increased about 10% to KES 22.9 billion, while the total dividend rose 17.1% to KES 2.05 per share: KES 0.20 interim and KES 1.85 final [30], [31]. That produces an indicative yield of approximately 6.03%. It is a credible income alternative, but because the share price has also rerated, the investor should compare forward earnings and payout capacity rather than buying solely from the trailing yield.

Diamond Trust Bank is another useful comparator. DTB reported FY2025 profit after tax of KES 10.7 billion, up 21%, and increased the dividend to KES 9.00 per share [33]. At KES 191, the indicative yield is about 4.71%, while 540,090 shares traded on 9 September [1], unusually strong liquidity for a mid-sized bank counter. DTB's lower payout ratio can leave more capital for growth, but that also means lower immediate income. Collectively, I&M, Absa and DTB give the investor a meaningful comparison set when deciding whether Equity, Co-op or Standard Chartered still deserve their core allocations.

25. Higher-Risk/Value Watch: Kenya Power (KPLC)

Kenya Power is a turnaround/value watch rather than a conventional dividend-growth holding. The share closed at KES 21.45 and was one of the most liquid names on 9 September, with about 3.08 million shares traded [1]. Its audited FY2025 report states that a KES 0.20 interim dividend was paid and a KES 0.80 final dividend was recommended, producing KES 1.00 per ordinary share for the year [25]. At the reference price, the trailing yield is about 4.66%.

The restored dividend is significant because the company had previously gone through years of financial stress and suspended ordinary distributions. However, a turnaround thesis is fundamentally different from a stable-income thesis. The investor must monitor operating cash generation, collections, system losses, debt, foreign-currency exposure, tariff decisions and government policy. Moreover, as of the 10 September 2026 research date, audited FY2026 results had not yet been published; it would be inappropriate to project the FY2025 payout mechanically. KPLC is therefore a liquid but higher-risk watchlist candidate whose investment case depends on continued balance-sheet and operational improvement.

26. Higher-Risk Income Watch: Williamson Tea Kenya (WTK)

Williamson Tea closed at KES 159 with 14,856 shares traded [1]. The company declared a KES 15 per share dividend for the year ended March 2026, creating an eye-catching indicative yield of about 9.43% [27], [28]. The danger is that the payout exceeded annual net income; Business Daily reported that Williamson and Kapchorua used retained earnings to support unusually large distributions [28]. That makes the yield qualitatively different from a bank paying a moderate share of recurring earnings.

WTK is therefore a useful case study in the dividend trap. A high cash payment can be genuine and still be non-repeatable. Tea prices, production volumes, labour costs, weather, currency movements and trade access can move earnings sharply between years. A prudent watchlist should record the KES 15 distribution but normalize expectations unless future operating earnings demonstrate that the payout can be covered. The status is speculative income watch: potentially attractive after deeper analysis, but not suitable for automatic inclusion solely because the trailing yield is near double digits.

27. Higher-Risk Momentum Watch: Car & General (CGEN)

Car & General is a particularly important 'wait' candidate because its 2026 share-price behaviour can overwhelm an otherwise improving fundamental story. CGEN closed at KES 281 on 9 September with 12,794 shares traded [1]. Dividend data show an annual FY2025 distribution of about KES 3.42 per share [32]. At KES 281, that is only about a 1.22% trailing

yield. Market data showed the share had advanced several hundred percent during 2026 before the research date, producing exceptional volatility.

The lesson is that a strong company result and a strong share price are not the same thing as an attractive entry price. Even if earnings have improved substantially, a buyer after a vertical rally assumes considerable valuation and mean-reversion risk. The dividend provides little downside cushion at the current price. CGEN therefore remains on the watchlist because its automotive, equipment and distribution businesses can diversify the portfolio, but the appropriate research status is speculative / wait. A future pullback accompanied by sustained earnings could change the risk-reward profile; momentum alone should not.

28. Ranking the Watchlist by Portfolio Function

The watchlist should be ranked according to what the portfolio lacks rather than according to yield. For diversification, KenGen is first because it introduces power generation and offers a meaningful current dividend. Jubilee follows because insurance changes the earnings mix without merely adding another lender. TotalEnergies is also attractive because downstream energy cash flows differ from the core sectors. BOC, Kakuzi and Carbacid are useful second-line diversifiers, but their lower liquidity or narrower business models justify smaller position sizes and more patient execution.

Among banks, the ranking depends on the role being replaced. For high income, Stanbic and NCBA compare strongly with Standard Chartered. For scale and regional banking, KCB compares directly with Equity but its FY2025 special dividend must be removed when normalizing yield. I&M provides an attractive dividend-growth record, Absa combines income and profitability, and DTB combines a rising payout with retained capital and strong liquidity. The investor should not infer that the highest-ranked bank should simply be added; the decision should be framed as ‘which bank best deserves the existing bank allocation?’

The higher-risk group, KPLC, Williamson Tea and Car & General, requires explicit thesis validation. KPLC must demonstrate that the turnaround remains durable; WTK must demonstrate dividend coverage; CGEN must demonstrate that earnings can justify the post-rally valuation. These are precisely the situations where a watchlist prevents impulsive buying: the investor has already defined what evidence must improve before capital is committed.

29. Suggested Watchlist Monitoring Framework

A useful watchlist records not only price but the condition that would make the investment case stronger or weaker. For every company, update five fields after each results period:

earnings trend, dividend per share, payout quality, balance-sheet risk and current price/liquidity. A sixth field should record the portfolio consequence of buying the stock. For example, purchasing KenGen lowers the relative bank weight; purchasing KCB increases it. The same KES 10,000 therefore has a different diversification effect depending on where it is deployed.

For dividend quality, classify distributions as ordinary recurring, ordinary but cyclical, or special/non-recurring. KCB's KES 3 special component belongs in the third category. NSE PLC's KES 0.27 special component should be treated similarly. Williamson Tea's KES 15 is ordinary in legal form but economically requires caution because it exceeded annual profit. Such classification prevents a mechanical spreadsheet from presenting all shillings of dividend as equally repeatable.

For price discipline, avoid a single rigid 'buy price' unsupported by valuation. Instead, use a range of evidence: historical and forward earnings, return on equity/capital, payout ratio, balance-sheet quality, recent price range, liquidity and expected dividend. A price decline caused by temporary market volatility can improve the entry; a price decline caused by deteriorating fundamentals may not. DCA should only be applied after the business passes the fundamental screen.

30. How Future Capital Could Expand the Core

If an additional KES 50,000–100,000 becomes available after the initial core is established, the most coherent expansion is not to repeat the original weights. New money can be used to correct concentration. A reasonable sequence for deeper research is KenGen, Jubilee, TotalEnergies, then one selected bank alternative only if it replaces or offsets an existing bank allocation, followed by a small industrial position such as BOC or Carbacid. Kakuzi can be considered when liquidity and valuation permit. This sequence would gradually transform the portfolio from a bank-heavy dividend basket into a more balanced Kenyan equity allocation.

The precise future allocation should depend on the portfolio weights at that time. If banks have underperformed and fallen from 45% to 35%, a high-quality bank alternative may be acceptable. If banks have rallied and risen above 50%, new capital should overwhelmingly favour non-bank sectors. The watchlist therefore works best when connected to portfolio weights, not as a standalone ranking table.

The same principle applies to dividend reinvestment. Cash received from BAT does not have to buy BAT; cash received from Standard Chartered does not have to buy another bank. Reinvesting into the most underweight high-quality sector allows dividend income to become a rebalancing mechanism. Over time this can reduce concentration without triggering sales and their associated execution costs.

31. Part 2 Conclusion

The detailed watchlist expands the opportunity set without confusing observation with ownership. KenGen, Jubilee and TotalEnergies are the strongest first-line diversification candidates because they add energy and insurance exposures missing from the core. BOC, Kakuzi and Carbacid extend industrial and agricultural diversification but require greater attention to liquidity. KCB, Stanbic, NCBA, I&M, Absa and DTB are credible banks, yet most should be viewed as alternatives to existing bank positions rather than automatic additions. Kenya Power, Williamson Tea and Car & General belong in the higher-risk group because their investment cases depend on a turnaround, dividend coverage or valuation normalization.

The central lesson is that a watchlist should improve decision quality. It should force the investor to ask why a company belongs in the portfolio, what source of return is expected, whether the dividend is recurring, what risk would invalidate the thesis, and how the purchase changes total sector exposure. When those questions are answered consistently, the KES 100,000 DCA portfolio and the watchlist become one integrated process: the core holds today's preferred exposures, while the watchlist provides disciplined alternatives for tomorrow.

References

myStocks Mobile, "Market Pricelist: 09 Sep 2026," Sep. 9, 2026. [Online]. Available: <https://live.mystocks.co.ke/m/pricelist>. [Accessed: Sep. 10, 2026].

Republic of Kenya, "The Capital Markets (Licensing Requirements)(General) Regulations, 2025," Legal Notice 197 of 2025, Kenya Law, Dec. 11, 2025. [Online]. Available: <https://new.kenyalaw.org/akn/ke/act/ln/2025/197/eng@2025-12-11>. [Accessed: Sep. 10, 2026].

Capital Markets Authority, "Quarterly Capital Markets Statistical Bulletin, Q3 2025," 2025. [Online]. Available: <https://www.cmarp.or.ke/images/bulletin/Statistical%20Bulletin/2025/CMA-Quarterly-Statistical-Bulletin-Q3.-2025.pdf>. [Accessed: Sep. 10, 2026].

Standard Chartered Bank Kenya, "How to use Dollar Cost Averaging to build long term wealth," Wealth Insights. [Online]. Available: <https://www.sc.com/ke/wealth-insights/dollar-cost-averaging/>. [Accessed: Sep. 10, 2026].

Republic of Kenya, "Income Tax Act," Kenya Law, text as at Jul. 1, 2025. [Online]. Available: <https://new.kenyalaw.org/akn/ke/act/1973/16/eng@2025-07-01>. [Accessed: Sep. 10, 2026].

Kenya Revenue Authority, “About Capital Gain Tax,” [Online]. Available: <https://www.kra.go.ke/helping-tax-payers/faqs/capital-gain-taxes>. [Accessed: Sep. 10, 2026].

Safaricom PLC, “Safaricom PLC pays a record dividend at KES 80.13 billion for FY26,” 2026. [Online]. Available: <https://www.safaricom.co.ke/media-center-landing/press-releases/safaricom-plc-pays-a-record-dividend-at-kes-80-13-billion-for-fy26>. [Accessed: Sep. 10, 2026].

Equity Group Holdings PLC, “Equity Group shareholders approve KSh 21.7 billion dividend, insurance expansion, and key governance resolutions at 22nd AGM,” Jun. 24, 2026. [Online]. Available: <https://equitygroupholdings.com/nairobi-24th-june-2026-equity-group-holdings-plc-shareholders-have-approved-all-proposed-resolutions-tabled-at-the-22nd-annual-general-meeting-agm-including-dividend-payout-board-appointments-a/>. [Accessed: Sep. 10, 2026].

Co-operative Bank of Kenya Ltd., “Integrated Report 2025,” 2026. [Online]. Available: <https://www.co-opbank.co.ke/wp-content/uploads/2026/05/2025-Co-op-Bank-Integrated-Report-Web.pdf>. [Accessed: Sep. 10, 2026].

Standard Chartered Bank Kenya Ltd., “Investor Relations: 2026 Financial Results & Annual Reports,” 2026. [Online]. Available: <https://www.sc.com/ke/investor-relations/>. [Accessed: Sep. 10, 2026].

BAT Kenya PLC, “Combined Annual and Sustainability Report 2025,” 2026. [Online]. Available: https://www.batkenya.com/content/dam/endmarkets/ke/en/download/investors-and-reporting/annual-reports/BATK_Combined_Annual_and_Sustainability_Report_2025.pdf. [Accessed: Sep. 10, 2026].

East African Breweries PLC, “Financial Results: Full Year 2026,” 2026. [Online]. Available: <https://www.eabl.com/investors/financial-results>. [Accessed: Sep. 10, 2026].

Nairobi Securities Exchange PLC, “Integrated Annual Report & Financial Statements 2025,” 2026. [Online]. Available: https://assets.kenyanstocks.com/files/019e3f97-1629-7292-a473-52cafbe29252/NSE_2025_Integrated_Reports.pdf. [Accessed: Sep. 10, 2026].

KenGen PLC, “Financial Reports: 2026,” 2026. [Online]. Available: <https://www.kengen.co.ke/investor-relations/financial-information/>. [Accessed: Sep. 10, 2026].

Nairobi Securities Exchange PLC, “KenGen Plc: Audited Financial Results for the Year Ended 30 June 2026,” distributed via Public Technologies, Sep. 7, 2026. [Online]. Available: <https://www.marketscreener.com/news/nairobi-securities-exchange-kengen-plc-a-audited->

financial-results-for-the-year-ended-30-june-20-ce785bdbd18af42c. [Accessed: Sep. 10, 2026].

KCB Group PLC, “2025 Integrated Report & Financial Statements,” 2026. [Online]. Available: <https://kcbgroup.com/>. [Accessed: Sep. 10, 2026].

KCB Group PLC, “KCB Group Shareholders Approve KShs. 22.5 Billion Dividend Payout,” May 21, 2026. [Online]. Available: <https://kcbgroup.com/>. [Accessed: Sep. 10, 2026].

Stanbic Holdings PLC, “Summary of 2026 AGM Shareholders’ Questions & Responses,” May 14, 2026. [Online]. Available: https://www.stanbicbank.co.ke/static_file/Kenya/Downloadable%20files/Stanbic%20Holdings%20PLC/AGM/2026/Stanbic-Holdings-Plc-2026-AGM-Shareholders-Questions-and-Responses.pdf. [Accessed: Sep. 10, 2026].

NCBA Group PLC, “Annual 2025 Integrated Report,” 2026. [Online]. Available: <https://ncbagroup.com/wp-content/uploads/2026/06/NCBA-Group-Plc-Annual-2025-Integrated-Report.pdf>. [Accessed: Sep. 10, 2026].

NCBA Group PLC, “NCBA Group PLC reports KES 23.4 billion in net profit, Dividend Per Share Up 30% and Launches New 5-Year Strategy,” Apr. 9, 2026. [Online]. Available: <https://ncbagroup.com/blog/newsroom-article/ncba-group-plc-reports-kes-23-4-billion-in-net-profit-dividend-per-share-up-30-and-launches-new-5-year-strategy/>. [Accessed: Sep. 10, 2026].

Jubilee Holdings Ltd., “Jubilee Holdings Declares A Record Dividend Following 18% Increase in Net Profit,” Apr. 9, 2026. [Online]. Available: <https://jubileeinsurance.com/group/newsroom/jubilee-holdings-declares-a-record-dividend-following-18-increase-in-net-profit/>. [Accessed: Sep. 10, 2026].

TotalEnergies Marketing Kenya PLC, “Financials,” 2026. [Online]. Available: <https://totalenergies.ke/about-us/shareholder-information/financials>. [Accessed: Sep. 10, 2026].

BOC Kenya PLC, “Investor Relations,” 2026. [Online]. Available: <https://www.boc.co.ke/our-business/investor-relations>. [Accessed: Sep. 10, 2026].

Morningstar, “BOC Kenya PLC Dividends,” 2026. [Online]. Available: <https://www.morningstar.com/stocks/xnai/boc/dividends>. [Accessed: Sep. 10, 2026].

The Kenya Power and Lighting Company PLC, “Annual Report and Financial Statements for the Year Ended 30 June 2025,” 2025. [Online]. Available: <https://kplc.co.ke/storage/01K9C11B50VR5T3KS48G2GYNQo.pdf>. [Accessed: Sep. 10, 2026].

Kakuzi PLC, “Kakuzi Returns to Profit with KShs 387.5 million After Tax Earnings, With Double Dividends for Shareholders,” Mar. 25, 2026. [Online]. Available: <https://www.kakuzi.co.ke/2026-kakuzi-returns-to-profit-with-kshs-387-5-million-after-tax-earnings-with-double-dividends-for-shareholders>. [Accessed: Sep. 10, 2026].

Williamson Tea Kenya PLC, “Investor Reports: 2026,” 2026. [Online]. Available: <https://www.williamsontea.com/investor-reports/>. [Accessed: Sep. 10, 2026].

G. Ngigi, “Kapchorua, Williamson tap retained earnings to pay out mega dividends,” Business Daily Africa, Jun. 28, 2026. [Online]. Available: <https://www.businessdailyafrica.com/bd/corporate/companies/kapchorua-williamson-tap-retained-earnings-to-pay-out-dividends-5512106>. [Accessed: Sep. 10, 2026].

I&M Group PLC, “Audited Financial Statements for the Year Ended 31 December 2025,” Mar. 24, 2026. [Online]. Available: <https://www.imbankgroup.com/wp-content/uploads/2026/03/im-bank-group-financials.pdf>. [Accessed: Sep. 10, 2026].

Absa Bank Kenya PLC, “Investor Relations: 2025 Annual Integrated Report,” 2026. [Online]. Available: <https://www.absabank.co.ke/investor-relations/>. [Accessed: Sep. 10, 2026].

G. Ngigi, “Absa lifts dividend 17pc on net profit growth to Sh22.9bn,” Business Daily Africa, Mar. 4, 2026. [Online]. Available: <https://www.businessdailyafrica.com/bd/corporate/companies/absa-lifts-dividend-17pc-on-net-profit-growth-to-sh22-9bn-5379836>. [Accessed: Sep. 10, 2026].

StockAnalysis.com, “Car & General (Kenya) Dividend History, Dates & Yield,” 2026. [Online]. Available: <https://stockanalysis.com/quote/nase/CGEN/dividend/>. [Accessed: Sep. 10, 2026].

Diamond Trust Bank Kenya Ltd., “DTB pre-tax profit jumps by 26%, increases dividend to KShs 9 per share,” Mar. 23, 2026. [Online]. Available: <https://dtbk.dtbfrica.com/news/dtb-press-release-financials>. [Accessed: Sep. 10, 2026].

Carbacid Investments PLC, “2025 Annual Report,” 2025. [Online]. Available: https://carbacid.com/documents/87/2025_Annual_Report.pdf. [Accessed: Sep. 10, 2026].

Simply Wall St, “Kenyan (NSE) Market Analysis & Valuation: Updated Sep. 9, 2026,” Sep. 9, 2026. [Online]. Available: <https://simplywall.st/markets/ke>. [Accessed: Sep. 10, 2026].

Appendix B Watchlist Formulae

The watchlist uses one common price date and stated dividend basis so that indicative yields can be compared on the same arithmetic basis.

B.1 Indicative dividend yield

Formula: $y_i = D_i / P_i$

Mathematical equivalence: indicative yield y for counter i equals the stated dividend per share D divided by reference price P .

Excel expression: =DividendPerShare/ReferencePrice

B.2 Ordinary dividend normalization

Formula: $D_{\text{ordinary}} = D_{\text{total}} - D_{\text{special}}$

Mathematical equivalence: ordinary dividend D_{ordinary} removes a separately identified special dividend D_{special} from the total stated dividend D_{total} . The resulting ordinary yield is D_{ordinary} divided by price P .

Excel expression: =TotalDividend-SpecialDividend and
=OrdinaryDividend/ReferencePrice

B.3 Portfolio weight after a new purchase

Formula: $w_{\text{prime}_i} = (V_i + B_i) / (V_{\text{total}} + B_{\text{total}})$

Mathematical equivalence: revised portfolio weight for holding i equals its existing value V plus new purchase B , divided by existing portfolio value plus the total new capital deployed.

Excel expression:
=(ExistingHoldingValue+NewPurchase)/(ExistingPortfolioValue+TotalNewCapital)